LEGISLATIVE AND REGULATORY RISK BRIEFING · NO. 1

Chile's mining agenda after the Reconstruction Law

Legislative tracking, political support, risk of amendment, labour relations, investment and markets

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Independent analysis based on public sources. It is not legal or investment advice. Impact, support and risk assessments are the author's own and rest on the data and criteria described in the methodology section.

Executive summary

- **The 2026 regulatory shift is already law.** The National Reconstruction Law (21,850) cuts the corporate tax rate from 27% to 23% and offers tax stability for 10, 15 or 20 years, including royalty stability for mining projects. Law 21,853 replaces the progressive mining fee with a flat fee. Risk now moves to implementing regulations.
- **The most relevant open front is environmental.** The SEIA reform (16552-12) is in the Chamber's Environment Committee with executive amendments, and the SMA reform (16553-12) is at second report stage in the Senate. Both split the blocs and are likely to change before final passage.
- **Bills change substantially in Congress.** In mining laws and in laws on water, permits and protected areas passed between 2019 and 2026, executive bills kept between 31% and 84% of their original text, and private members' bills kept almost none. The text of a bill at introduction is a poor guide to the final law.
- **Deputies from mining regions break with their party on key bills.** On mining bills, deputies from the seven mining districts vote against their party almost twice as often as other deputies (6.2% against 3.3%), in different directions depending on the bloc. The effect is concentrated in the Sectoral Permits Framework Law and the royalty, and does not appear in the water, protected areas or SMA reforms.
- **A demanding labour and market cycle.** After the ten-day strike at Centinela and the last-minute agreement at Escondida, supervisor contracts expire at Spence (30 November) and Lomas Bayas (20 December). Cochilco forecasts copper at US$6.18 per pound in 2026, with Chilean output 8.4% below 2025.

Legislative tracker

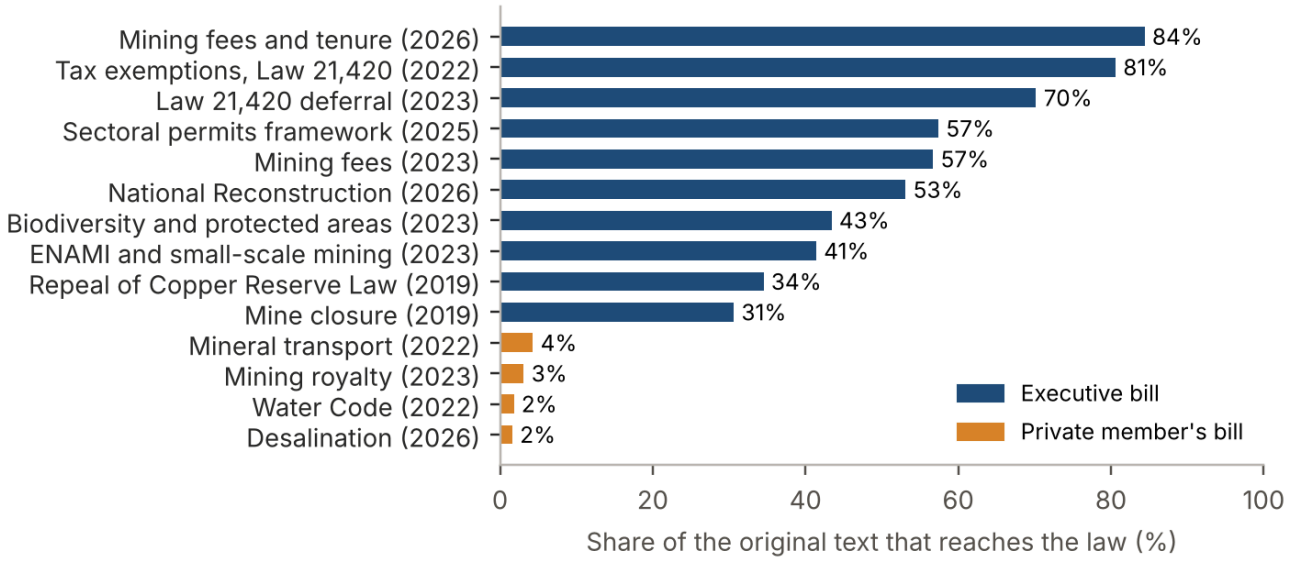
Bill	Stage	Urgency	Impact	Observed support	Risk of amendment	What to watch
National Reconstruction (Law 21,850) 18216-05	Published 17-10-2026	—	High	Right and part of the centre in favour; left and centre-left against. Senate 26-23 at general vote	Low; moves to regulations	Stability regulations and first contracts
Environmental assessment (SEIA) reform 16552-12	2nd reading, Chamber Environment Committee	Simple	High	Senate 22-16 at last vote; left against	High	Votes on executive amendments; likely mixed committee
Environmental Superintendency (SMA) reform 16553-12	2nd reading, Senate second report	Simple	High	Chamber 79-60 in 2025, right against; Senate 25-6 at general vote	High	New government amendments on sanctions and compliance programmes
Mining fees and tenure (Law 21,853) 18259-08	Published 5-11-2026	—	Medium	Consensus at general vote (107-2); Chamber split at third reading (89-46)	Low	Mining Code regulation update within six months
Desalination (Law 21,813) 11608-09	Published 12-5-2026	—	Medium	Unanimous in the Chamber; narrow Senate votes (18-17)	Low	National Desalination Strategy and concession regulation
Capital markets reform 18643-05	2nd reading, Senate first report	Immediate	Medium	Chamber 100-38; left against and centre-left mostly against	Medium	Senate passage under immediate urgency
Working-time adaptability 18478-13	1st reading, Chamber first report	High	Medium	No floor votes yet	High	Scope of adaptability mechanisms and trade-union positions
Removal of worker directors from Codelco's board 18653-08	1st reading, Chamber Mining and Energy Committee	None	Medium	Motion by pro-government deputies; FTC on national alert	High	Executive sponsorship and union response
Critical minerals 18194-08	1st reading, Senate Mining and Energy Committee	None	Medium	Cross-party motion; no votes yet	High	First report and executive sponsorship
Lobbying by relatives of officials 18749-06	1st reading, Senate first report	None	Low	Motion; no votes yet	High	Scope of the ban for interest representatives

Legislative risk indicators

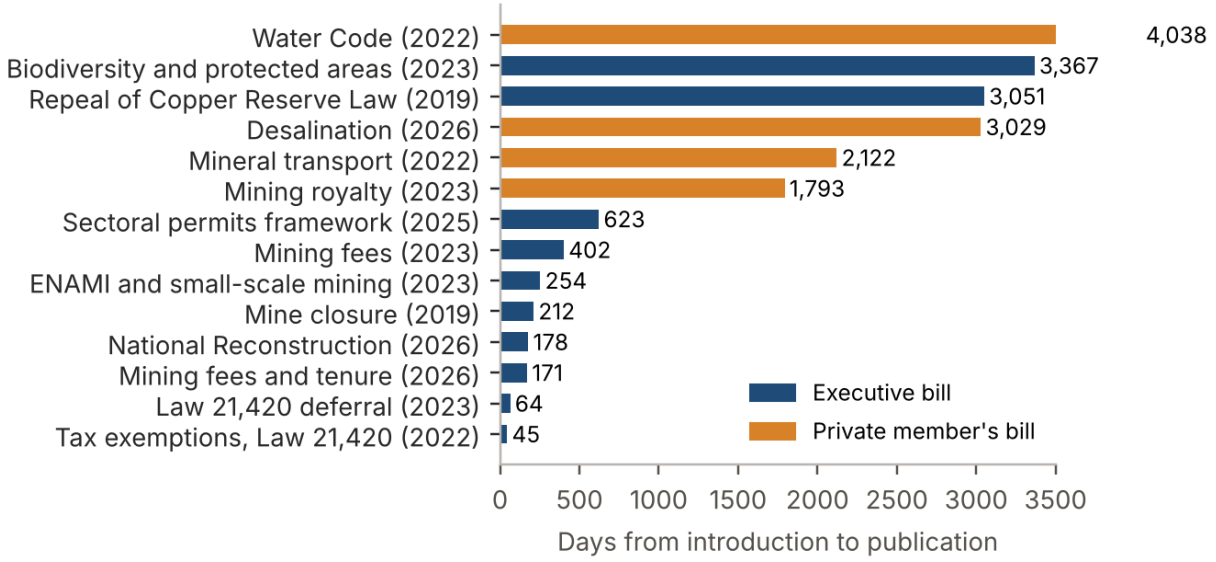
The passage of laws affecting mining between 2019 and 2026 shows two regularities that help anticipate the fate of a bill. Executive bills keep between a third and 84% of their original text and are published after a median of 233 days, while private members' bills are almost entirely rewritten and take years, when they advance at all.

The support table shows each bloc's share of yes votes in the last floor vote on each bill. Decisive votes tend to be narrower than the general vote, and the left voted as a bloc against the government's economic agenda in 2026.

Share of the original text that reaches the law



Days from introduction to publication



Yes votes by bloc in the last floor vote (%)

	Left	Centre-left	Centre	Right	Radical right
National Reconstruction Chamber · 10-08-2026	0	0	100	100	100
National Reconstruction Senate · 12-08-2026	0	0	33	100	100
Mining fees and tenure Chamber · 28-10-2026	0	17	65	100	100
Mining fees and tenure Senate · 07-10-2026	100	100	100	100	100
Desalination Senate · 25-03-2026	0	9	67	100	100
SEIA reform Senate · 14-04-2026	0	0	50	100	100
SMA reform Chamber · 21-01-2025	100	100	100	3	0
Capital markets Chamber · 27-10-2026	0	21	100	100	100

Source: author's analysis of floor votes in the Chamber and the Senate. Ideological blocs ordered from left to right following the literature. The radical right is the party family defined by nativism, authoritarianism and populism (Mudde, 2007), not an extreme position on the scale. No analogous bloc is distinguished on the left, because the parties that comparative research groups as radical left (March, 2011) have joined governing coalitions in Chile and vote within them on the floor. Parties without a clear family are assigned by the median of their floor-vote position.

> **The mining-region vote.** On mining bills, deputies from the seven districts where mining exceeds 5% of employment (Arica and Parinacota, Tarapacá, Antofagasta, Atacama, Coquimbo, inland Valparaíso and Cachapoal) voted against their party in 6.2% of contested votes, against 3.3% for other deputies. On the Sectoral Permits Framework Law, the left from those districts was more reluctant to streamline permits, and on the royalty the right from those districts was more supportive of the tax. On the Water Code, Biodiversity Service and SMA reforms, however, they did not break with their party more than others, so a bloc-based vote should be expected on the SEIA reform.

Bill briefs

National Reconstruction Law (Law 21,850, Bill 18216-05)

What it does. Cuts the corporate tax rate from 27% to 23% over four years and creates tax stability contracts for investments from US$50 million, for 10 years (up to US$100 million), 15 years (up to US$350 million) and 20 years (from US$350 million). For mining projects, stability covers the royalty under Law 21,591.

How it changed. The executive bill proposed 25 years of stability for all investments above US$50 million. The Senate introduced the tiered terms. Royalty stability was in the bill from the start. 53% of the original text survived and 46% of the final text is new.

Support. It passed with the right, the radical right and part of the centre, and with opposition from the left and the centre-left. In the Senate, the general vote was 26 to 23. It took 178 days, with a mixed committee, a presidential veto and Constitutional Court challenges.

What to watch. The implementing regulations for stability contracts and the first contracts signed. A change in the Senate majority would be the main medium-term reversal risk.

Mining fees and tenure (Law 21,853, Bill 18259-08)

What it does. Removes the progressive fee schedule of Laws 21,420 (2022) and 21,649 (2023) and sets a flat fee of 0.4 UTM per hectare, with a reduced fee of 0.1 UTM for concessions with activity. It defers 2026 fee payments until 28 February 2027 and waives late-payment surcharges in that period.

How it changed. It is the law that kept the most of its original text (84%). The Senate restored the 0.1 UTM fee for holders of up to 500 hectares who work at least one concession, a benefit the executive bill had removed.

Support. The general vote in the Chamber was 107 to 2, but the third reading ended 89 to 46, with the left voting against the Senate amendments. It was published 171 days after introduction.

What to watch. The amendment of the Mining Code regulation, which the law requires within six months, and the update of concession registers.

Environmental assessment (SEIA) reform (Bill 16552-12)

What it does. Reforms the environmental assessment institutions. In the Senate version, appeals against environmental approvals move from the Committee of Ministers to the Executive or Regional Director of the Environmental Assessment Service.

Status. The Senate approved it in general 41 to 0 in 2024, but the last detailed vote, in April 2026, was 22 to 16. In June 2026 the executive filed amendments in the Chamber's Environment Committee that, among other things, close the list of projects subject to assessment and remove hydrogen production and desalination, which the Senate had added.

Risk. High. The amendments change the text passed by the Senate, and critics have warned they could increase litigation. If the Chamber passes a different text, the bill returns to the Senate or goes to a mixed committee.

What to watch. The committee vote on the amendments, the position of the centre bloc, which split in the last Senate vote, and the timetable for the new SEIA regulation.

Environmental Superintendency (SMA) reform (Bill 16553-12)

What it does. Strengthens the SMA's enforcement and sanctions model and regulates, among other things, compliance programmes.

Status. The Chamber passed it in January 2025 in split votes (the last one 79 to 60), with the right against. The Senate approved it in general 25 to 6 and the bill is at second report stage, with amendments from several actors, including the Mining Council.

Risk. High. The change of government reversed the executive's position on a bill introduced by the previous administration, so substantial changes in the Senate are likely.

Removal of worker directors from Codelco's board (Bill 18653-08)

What it does. Amends Decree Law 1,350 to remove worker representatives from Codelco's board.

Status. Motion by pro-government deputies introduced on 19 August 2026, in the Chamber's Mining and Energy Committee, without urgency. The Copper Workers' Federation declared a national alert.

Risk. The bill is unlikely to advance without executive sponsorship, but it raises tension in Codelco's labour relations while it is debated.

Critical minerals (Bill 18194-08)

What it does. Creates a special regime for critical minerals with obligations on risk management, operational continuity, traceability and reporting, without changing the concession regime or creating subsidies.

Status. Cross-party motion introduced in April 2026, awaiting the first report of the Senate Mining and Energy Committee, without urgency.

Risk. Mining motions without executive sponsorship have stalled for years (lithium, glaciers, ENAMI smelting) or been almost entirely rewritten (royalty, desalination).

Labour relations

The second half of 2026 concentrated collective bargaining at large operations in the Antofagasta Region, against a backdrop of high copper prices that raise union expectations.

Operation	Union	Status
Centinela (Antofagasta Minerals)	Minera Esperanza and Distrito Centinela unions, 709 workers	Strike from 7 to 17 October. 36-month contract and an end-of-conflict bonus of CLP 24 million
Escondida (BHP)	Union No. 2 of supervisors and professionals, 1,020 workers	Strike approved; pre-agreement on 14 October averted it
Spence (BHP)	Supervisors, 450 workers	Contract expires on 30 November 2026
Lomas Bayas (Glencore)	Supervisors, 277 workers	Contract expires on 20 December 2026
Codelco	Copper Workers' Federation	National alert over the bill removing worker directors

The Centinela and Escondida agreements set a benchmark of CLP 24 to 28 million in end-of-conflict bonuses per worker, which is likely to shape the Spence and Lomas Bayas negotiations. At Codelco, the risk is political rather than wage-related and is tied to the board bill and the wider debate on its corporate governance.

Investment and environmental assessment

Cochilco's 2025-2034 mining investment portfolio totals US$104.5 billion, the highest in eleven years and 25.7% above the previous portfolio. Copper accounts for 89.8% of the total and lithium for about US$4.7 billion. Only 41% is under execution, and the two largest projects, Collahuasi's fourth line and Escondida's new Los Colorados concentrator, are still at prefeasibility and lack environmental approval.

In the environmental assessment system, August 2026 was the second-highest month on record, with 36 projects approved for US$12.95 billion, including the extension of Lomas Bayas to 2038. The SEIA reform and the new Sectoral Permits Framework Law will shape the timelines this portfolio faces in coming years.

Copper market

Cochilco raised its copper price forecast to US$6.18 per pound for 2026 and US$5.95 for 2027, with a global market in a small surplus (144,000 tonnes in 2026 and 215,000 in 2027). Demand 1% above forecast would turn the 2027 surplus into a deficit.

Chilean output is expected to fall 8.4% in 2026, to 4.94 million tonnes, due to lower ore grades, maintenance and disruptions. Escondida, Codelco and Spence account for 77.3% of the decline to September, and El Teniente remains constrained after the 2025 accident. A 3.0% recovery is expected in 2027, which would still leave output 5.7% below 2025.

High prices and lower output raise royalty revenue and union pressure, and strengthen the government's case for faster permitting and investment.

Comparative regulation: Argentina

Argentina competes directly for copper and lithium investment through its Large Investment Incentive Regime (RIGI). In February 2026 it extended the application deadline to 8 July 2027, and it reports ten approved projects worth US$25.5 billion, including Los Azules (copper, San Juan) and the Rincón expansion (lithium, Salta).

The tax stability regime in Law 21,850 can be read as Chile's response to that competition. Unlike the RIGI, Chilean stability covers the mining royalty, but its terms (10 to 20 years depending on size) depend on regulations not yet issued.

What to watch

Date	Milestone
30 November	Spence (BHP) supervisor contract expires
November-December	Vote on the executive's amendments to the SEIA reform in the Chamber's Environment Committee
November-December	Senate passage of the capital markets reform under immediate urgency
20 December	Lomas Bayas (Glencore) supervisor contract expires
First half of 2027 (expected)	Regulations for tax stability contracts under Law 21,850
Before May 2027	Mining Code regulation amendment required by Law 21,853
2027	Second report on the SMA reform in the Senate and first report on the critical minerals bill

Methodology

Tracking is based on the Senate's legislative records (stage, urgency and documents) as of 9 November 2026. Observed support refers to floor votes in each chamber, grouped by bloc according to each legislator's party in the quarter of the vote.

Risk of amendment rests on three criteria from Working Paper No. 6. Private members' bills without executive sponsorship are almost entirely rewritten or stall, executive bills keep between 31% and 84% of their text, and bills with narrow votes or pending executive amendments are more likely to change. Impact on mining is the author's assessment of whether the bill directly affects the sector's costs, timelines or operating rules.

The full analysis, with data and code, is in Bottinelli Baltra (2026), The mining agenda in the Chilean Congress, Working Paper No. 6.

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